than in the past means that we have to look to regional and domestic demand for our growth – to make in India primarily for India. Domestic-demand-led growth is notoriously difficult to manage, and typically leads to excess. This is why we need to strengthen domestic macroeconomic institutions, so that we can foster sustainable and stable growth. At the same time, we cannot let foreign markets shrink further, and we have to take up the fight for an open global system. Rather than being reactive, we have to be active in setting the agenda. That requires investment in our idea-producing institutions – research departments of official bodies, think tanks, as well as universities. In sum, the diminished expectations in the world at large should not be a reason for us to lower our sights.

Postscript: This speech was ultimately one on national risk management – what we needed to do in the environment of falling trade and rising protectionism that faced us. It became mildly controversial, I believe, because it was misunderstood. Critics said it was an attack on 'Make in India', and I was proposing an alternative, 'Make for India'. This was completely incorrect. No sensible economist could be against making in India if that came from an improvement in the business and infrastructure environment rather than our old, discredited policy of raising import barriers to encourage import substitution. Equally clearly, my critics had not read the title 'Make in India, Largely for India', let alone the content of the speech, which elaborated on, and extended, the government proposal. I did not disagree with where one should encourage production – we should 'Make in India'. Where I felt some of the narrow votaries were being overly optimistic is in expecting strong global demand at this time, given global weakness. I was not advocating export pessimism, but realism, borne out by the subsequent significant weakness in exports that we have experienced. We had to make in India, but initially largely for India, and so we have done at the time of writing.